Cornèr Funds

A contractual umbrella fund under Swiss law, of the “securities funds” type, divided into the following subfunds:

- Short Term Maturity CHF
- Short Term Maturity EUR
- Short Term Maturity USD
- Mid & Small Cap CH

Prospectus including funds contract

December 2023

Fund management company:
Solutions & Funds SA
Promenade de Castellane 4
1110 Morges

Custodian bank:
UBS Switzerland SA
Bahnhofstrasse 45
8098 Zurich

Wealth managers:

Cornèr Banca SA	VV Vermögensverwaltung AG
Via Canova 16	Chamerstrasse 12c
6901 Lugano	6300 Zug

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Part 1: Prospectus

This prospectus with integrated fund contract, the basic information sheet and the most recent annual or semi-annual report (if published after the latest annual report) serve as the basis for all subscriptions of units in the subfunds.

Only the information contained in the prospectus, in the basic information sheet or in the fund contract will be deemed to be valid.

1. Information concerning the umbrella fund and the subfunds

1.1 Umbrella foundation fund in Switzerland

The Cornèr Funds contract was drawn up by Solutions & Funds SA in its capacity as the fund management company, with the approval of UBS Switzerland SA in its capacity as custodian bank, submitted to the *Swiss Financial Market Supervisory Authority* (FINMA) and approved for the first time by the latter on 10 May 2000.
The umbrella fund is subdivided into the following subfunds:
- Short Term Maturity CHF
- Short Term Maturity EUR
- Short Term Maturity USD
- Mid & Small Cap CH.

1.2 Timescale

The umbrella fund has an unlimited duration.

1.3 Tax regulations applicable to the umbrella fund

Swiss taxation

The umbrella fund and the subfunds have no legal status in Switzerland. They are not subject to tax on income or capital.

The Swiss federal withholding tax deducted from the subfunds' domestic income can be reclaimed in full for the corresponding subfund by the fund management company.

Income and capital gains realized outside Switzerland may be subject to the relevant withholding tax deductions imposed by the country of investment. Insofar as is possible, these taxes will be reclaimed by the fund management company on behalf of investors domiciled in Switzerland under the terms of double taxation treaties or other such agreements.

For revenues derived for less than 80% from foreign sources (subfund Mid & Small Cap CH)

Distributions of income made by the subfund (to investors domiciled in Switzerland and abroad) are subject to the Swiss federal withholding tax (source tax) at 35%. Any capital gains paid on a separate coupon are not subject to withholding tax.

Investors domiciled in Switzerland may reclaim the deducted withholding tax via their tax returns or by submitting a separate refund application.

Investors domiciled abroad may reclaim the federal withholding tax on the basis of any double taxation treaty in place between Switzerland and their country of domicile. In the absence of such treaty, the withholding tax can not be reimbursed.

For revenues derived for more than 80% from foreign sources (subfunds Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD)

Distributions of income made by the subfunds to investors domiciled in Switzerland are subject to the Swiss federal withholding tax (source tax) at 35%. Any capital gains paid on a separate coupon are not subject to withholding tax.

Investors domiciled in Switzerland may reclaim the deducted withholding tax via their tax returns or by submitting a separate refund application.

Distributions of income to investors domiciled outside Switzerland are made free of Swiss withholding tax, provided at least 80% of the income of the corresponding subfund stems from foreign sources. In this case there must be a confirmation from the bank stating that the units in question are held at the bank in the custody account of an investor domiciled outside Switzerland, and that the distributions of income are credited to this investor's account (declaration of domicile or affidavit). No guarantee can be given that at least 80% of a subfund's income will stem from foreign sources.

If withholding tax is charged to an investor domiciled outside Switzerland owing to a failure to present a declaration of domicile, under Swiss law it may submit a refund application directly to the Swiss Federal Tax Administration in Berne.

Moreover, both income and capital gains, whether distributed or retained, may be wholly or partially subject to a tax known as paying agent tax (e.g. final withholding tax, EU taxation of savings, Foreign Account Tax Compliance Act) according to the person directly or indirectly owning the units.

This tax information is based on the current legal situation and practice. It is subject to changes in legislation, the decisions of the courts and the decrees and practices of the tax authorities.

Taxation and other tax implications for investors who hold, buy or sell units in funds and subfunds are defined by the tax laws and regulations in the investor's country of domicile. For information in this regard, investors should contact their tax advisor.

The fund is subject to the following tax regime:

Automatic international exchange of information in tax matters (automatic exchange of information)
This investment fund is qualified as a non-reporting financial institution, for the purposes of the exchange of information pursuant to the common standard on reporting and due diligence (CRS) of the Organisation for Economic Cooperation and Development (OECD) for information relating to financial accounts.

FATCA
The subfunds are registered with the US tax authorities as Registered Deemed-Compliant Financial Institution under a Model 2 IGA pursuant to Sections 1471-1474 of the US Internal Revenue Code (Foreign Account Tax Compliance Act, including relating texts, hereinafter "FATCA").

1.4 Accounting year

The accounting year runs from 1 April to 31 March.

For the Short Term Maturity CHF subfund, the first financial year will end on 31 March 2025.

1.5 Auditors

PricewaterhouseCoopers SA, Geneva, have been appointed as the auditors.

1.6 Units

Units are not issued as securities, but are accounted for.

In accordance with the fund contract, the fund management company is entitled to establish, liquidate or merge unit classes for each subfund at any time, subject to the consent of the custodian bank and the approval of the supervisory authority.

The subfunds Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD are not divided into unit classes.

For the Mid & Small Cap CH subfund, the following share classes are currently available:

Class type	Full management fee	Type of investors
"A"	1.00%	Qualified investors according to Art. 10, para. 3 and 3ter of CISA
"B"	1.50%	All

Share classes do not represent segmented assets. It cannot therefore be ruled out that a share class meets the commitments of another share class, even if the costs are in principle only charged to the share class benefiting from a defined service.

1.7 Listing and trading

The umbrella fund's units are not regularly traded on the stock exchange or over the counter.

1.8 Conditions for issuing and redeeming subfund units

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

Subfund units will be issued or redeemed on every bank working day (from Monday to Friday).

No issues or redemptions will take place on Swiss public holidays (Easter, Pentecost, Christmas, New Year, National Day, etc.), holidays in the Cantons of Zurich, of Ticino and of Vaud and on days when the stock exchanges and markets in the main investment countries of a subfund are closed, or under the exceptional circumstances defined under §17.4, chapter 4 of the fund contract.

Subscription and redemption requests received by the custodian bank no later than 3:00 p.m. on a bank business day (the day of the order) are valued on the next bank business day (value date) on the basis of the asset value calculated on that day.

The net asset value used for settlement is thus not yet known at the time of the forward pricing. The calculation takes place on the value date based on the closing price of the day on which the order was made.

The principle of forward pricing according to which the net asset value used for working out the charges is not thus yet known at the moment of the order (Forward pricing). It is calculated on the valuation day on the basis of the closing prices on the order day.

The issue price corresponds to the net asset value calculated on the value date, plus the issuing commission. The issuing commission amount is given in chapter 1.12 of the prospectus below.

The redemption price of the units corresponds to the net asset value calculated on the value date. No redemption fee or other commission is charged.

Incidental costs for the purchase and sale of investments (standard brokerage fees, commissions, taxes, etc.), incurred by a subfund in connection with the investment of the amount deposited, or with the sale of the reported corresponding unit, will be charged to the assets of the corresponding subfund.

Issue and redemption prices are rounded to 0.01.

Payment will be made every 2 bank working days after the value date (value date 2 days).

Units shall not be issued in the form of certificates but purely as book entries.

- **Mid & Small Cap CH**

Subfund units are issued or redeemed every bank business day (Monday to Friday). Units may not be issued or redeemed on Swiss public holidays (Easter, Pentecost, Christmas, New Year, National Day, etc.), public holidays in the Cantons of Zurich, of Vaud and of Ticino, as well as on days when the exchanges or markets of the main investment countries of a subfund are closed, or in exceptional circumstances as defined in §17, chapter 4, of the fund contract.

Subscription and redemption requests received by the custodian bank no later than 3:00 p.m. on a bank business day (the day of the order) are valued on the next bank business day (value date) on the basis of the asset value calculated on that day.

The net asset value used for settlement is thus not yet known at the time of the forward pricing. The calculation takes place on the value date based on the closing price of the day on which the order was made.

The net asset value of a share class results from the quota share at market value of the subfund's assets corresponding to the class in question, minus all of the subfund's liabilities allocated to this class, divided by the number of units in circulation of that same class. It is rounded up to 0.01.

The issue price corresponds to the net asset value calculated on the value date, plus the issuing commission. The issuing commission amount is given in chapter 1.12 of the prospectus below.

The redemption price corresponds to the net asset value calculated on the value date, minus the redemption fee. The redemption fee amount is given in chapter 1.12 of the prospectus below.

Incidental costs for the purchase and sale of investments (standard brokerage fees, commissions, taxes, etc.), incurred by a subfund in connection with the investment of the amount deposited, or with the sale of the reported corresponding unit, will be charged to the assets of the corresponding subfund.

Issue and redemption prices are rounded to 0.01.

Payment will be made every 2 bank working days after the value date (value date 2 days).

1.9 Profit appropriation

	Short Term Maturity CHF (*), Short Term Maturity EUR and Short Term Maturity USD	Mid & Small Cap CH
Product use	Distribution Product distribution within four months after the end of the financial year (*) First distribution of proceeds within four months of the first closing of the financial year ending in 2025	Class « A » shares: distributing share class Class « B » shares: distributing share class Product distribution within four months after the end of the financial year

1.10 Investment objectives and policy of the umbrella fund and the subfunds

1.10.1 Investment objectives of the subfunds

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

The objective of the Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds consists mainly in achieving a continuous positive return. In particular we aim to achieve a return that will reach at least the interest rates of money market instruments in the currency of the subfund concerned. The objective of the subfunds is to expose investors to a bond portfolio that is invested with maturities less than three years and with highly liquid and easily marketable underlying securities.

- **Mid & Small Cap CH**

The main objective of the Mid & Small Cap CH subfund is to achieve long-term capital growth by investing in small and medium-sized companies that are listed on the Swiss stock exchange, including Swiss Performance Index (SPI) securities and money market instruments. The Swiss Performance Index Small & Middle Companies (SPISMC) serves as a benchmark and covers around 200 small and medium-sized companies. The weighting of the benchmark has no impact on the overall composition of the portfolio. The subfund may invest up to 20% outside the benchmark, but only in Swiss shares on the SMI index.

The subfund uses an active investment strategy. The investment approach is bottom-up and stock-picking. It is also based on fundamental research that identifies leading companies in their sector that have a clear competitive advantage, proven management experience, above-average growth, and a solid balance sheet. The subfund generally holds between 25 and 35 positions.

1.10.2 Investment policy of the subfunds

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

The investment policy is the same for the Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds. Only the accounting currency differs.

The fund manager shall invest at least 90% of the assets of each of the three subfunds in money market instruments and in bank deposits denominated in all currencies of the OECD member countries and in fixed coupon or variable interest rate bonds. The subfunds may alternatively invest in units of other collective investment schemes.

The fund manager may also invest up to a maximum of 10% of the assets of each of the three subfunds in “sub-investment grade” rated and/or unrated bonds and/or in bonds issued by non-OECD countries. However, the bonds must be issued in the currency of one of the OECD member countries. The funds concerned must then implement a diversified investment strategy.

The subfunds may have up to 33% of monetary exposure that is not hedged against currency risk.

The average duration of the subfunds portfolio must not exceed one year and the residual duration of the individual investments must not exceed three years.

- **Mid & Small Cap CH**

The Mid & Small Cap CH subfund has an active investment style. The manager’s investment approach is bottom-up and based on stock picking; it is centred on fundamental research that identifies leading companies in their niche sector, with clear competitive advantages, proven management experience, above-average growth and strong balance sheets.

- **All the subfunds**

The fund management company may invest up to 35% of the subfunds’ assets in securities or money market instruments from the same issuer, if these are issued or guaranteed by an OECD country, a public-law entity from the OECD, or by an international public-law organization to which Switzerland or a member state of the European Union belongs.

The supervisory authority has authorized the fund management company to invest up to 100% of assets of each subfund provided that these transferable securities or money market instruments are issued or guaranteed by an OECD country, or by an OECD public-law entity, or by an international public-law organization to which Switzerland or a Member State of the European Union belongs. In this case, the concerned subfund must hold transferable securities or money market instruments from at least six different issues; a maximum of 30% of assets of the said subfund may be invested in transferable securities or in money market instruments of the same issue.

The following are authorized issuers / guarantors:
- OECD member states;
- KFW (Kreditanstalt für Wiederaufbau);
- OKB (Oesterreichische Kontrollbank);
- EIB (European Investment Bank);
- IADB (Interamerican Development Bank);
- IBRD (International Bank for Reconstruction and Development);
- ADB (Asian Development Bank);
- COE (Council of Europe);

- Eurofima;
- Deutsche Treuhandanstalt;
- German Unity Fund;
- FNMA (Federal National Mortgage Association);
- EBRD (European Bank for Reconstruction and Development);
- AFDB (African Development Bank);
- Asfinag (Autobahn & Schnellstrassenfinanzierungs AG);
- NIB (Nordic Investment Bank);
- Depfa (Deutsche Pfandbriefbank).

Strategy in terms of securities

Management only accepts the types of securities listed below:
- monetary securities;
- bonds issued or guaranteed by a Member State of the OECD with a high rating,
- cash denominated in the currencies of G10 countries.

Securities cover all OTC derivatives, except for forward exchanges with a maturity of less than six months.

The safety margin is equal to 0% for securities in cash, monetary securities or bonds, the residual maturity of which is below one year.

For obligations with a residual maturity up to and over one year, a safety margin at least equal to 2% is applied, considering that this margin increases according to the duration of the obligation concerned.

Securities are deposited in a bank account in the name of Management for the fund account.

Securities received in cash may be reinvested directly or indirectly in short-term instruments of the money market in form of cash at bank or government bonds with a high rating. The reinvestment of securities received in cash shall be made in the same currency of the received securities. The reinvestment of these securities may be impacted by fluctuations in value. Moreover, a certain liquidity risk cannot be excluded.

1.10.3 Use of derivatives

The fund management company may trade in derivatives. However, even in exceptional market conditions, the use of derivatives may not result in a deviation from the investment objectives or a change in the investment character of the Fund. Commitment Approach I is applied to the assessment of risk.

Derivatives form part of the investment strategy and are not just used to hedge investment positions.

In relation to collective investment schemes, derivative products may only be used for currency hedging purposes. The option to hedge market risk, interest rate and credit risk by collective investment schemes is reserved to the extent that these risks can be clearly determined and measured.

Only basic forms of derivatives may be used, i.e. call or put options, credit default swaps (CDSs), swaps and futures and forward transactions, as described in more detail in the fund contract (cf. § 12 of the fund contract), provided the underlying securities are permitted as investments under the fund contract. The derivative transactions may be concluded on either a stock exchange or another regulated market open to the public, or in OTC (over-the-counter) trading. In addition to market risks, derivatives are also subject to counterparty risk, i.e. the risk that the party to the contract may not be able to meet its obligations and may thus cause a financial loss.

With a CDS, the default risk of a credit position is transferred from the risk seller to the risk buyer. The latter receives a premium as compensation. The size of this premium depends, among other things, on the probability of a loss event occurring and the maximum size of the loss; both factors are generally difficult to assess, which increases the risk associated with the CDS. The subfunds may act as both risk buyers and risk sellers.

Even under extraordinary market circumstances, the use of these instruments may not result in the subfunds' assets being leveraged, neither may they correspond to a short sale.

Given the risks inherent in the use of derivatives, it is not excluded that certain investments suffer partial or total loss.

1.11 Net asset value

The net asset value of a share class results from the quota share at market value of the subfund's assets corresponding to the class in question, minus all of the subfund's liabilities allocated to this class, divided by the number of units in circulation of that same class. It is rounded up to 0.01.

1.12 Remuneration and incidental costs

1.12.1 Remuneration and costs charged to the subfunds' wealth (excerpt from § 19 of the fund contract)

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

Fund management fee (calculated on the subfund's net wealth)	0.65% p.a. maximum

The commission covers management, wealth management and possibly the subfunds' distribution activity.
The management fee charged by the fund management company is also used to pay retrocessions in accordance with 1.12.3 of the Prospectus.

Custodian bank commission (calculated on the subfund's net wealth)	0.10% p.a. maximum

The commission covers the Custodian Bank's duties, such as the conservation of the fund's wealth, the management of payment transactions and the other functions mentioned in § 4 of the fund contract..

Management commission for settlement of the liquidation proceeds (to be split with the custodian bank)	0.50% of the net asset value
Commission of the custodian bank for the payment of annual income to investors	0.50% of the gross distributed amount

Furthermore, the other fees and incidental costs listed under § 19 of the fund contract may also be charged to the subfunds.

Information on the rates actually charged can be found in the annual and semi-annual reports.

- **Mid & Small Cap CH**

Fund management fee (calculated on the subfund's net wealth)	1.00% p.a. maximum for Class "A" shares 1.50% p.a. maximum for Class "A" shares
The commission covers the administration, asset management and any marketing of the subfunds. The management fee charged by the fund management company is also used to pay retrocessions in accordance with 1.12.3 of the Prospectus.	
Custodian bank commission (calculated on the subfund's net wealth)	0.10% p.a. maximum
The commission covers the custodian bank's duties such as the conservation of the fund's wealth, management of payment transactions and other functions mentioned in § 4 of the fund contract.	
Management commission for settlement of the liquidation proceeds (to be split with the custodian bank)	0.50% of the net asset value
Commission of the custodian bank for the payment of annual income to investors	0.50% of the gross distributed amount

Furthermore, the other fees and incidental costs listed under § 19 of the fund contract may also be charged to the subfunds.

Information on the rates actually charged can be found in the annual and semi-annual reports.

1.12.2 Total expense ratio (TER)

- **Short Term Maturity CHF**

The ratio of total costs charged on a continuous basis to the subfund's assets (Total Expense Ratio, TER) will be available for the first time at the end of the annual closing date in 2025 for the Short Term Maturity CHF sub-fund.

- **Short Term Maturity EUR**

The ratio of total costs charged continuously to the subfund's wealth (Total Expense Ratio, TER) was:

31.03.2023	0.31%
31.03.2022	0.31%
31.03.2021	0.31%

- **Short Term Maturity USD**

The ratio of total costs charged continuously to the subfund's wealth (Total Expense Ratio, TER) was:

31.03.2023	0.43%
31.03.2022	0.43%
31.03.2021	0.44%

- **Mid & Small Cap CH**

The ratio of total costs charged continuously to the subfund's wealth (Total Expense Ratio, TER) was:

Mid & Small Cap CH - A

31.03.2023	0.99%
31.03.2022	0.99%
31.03.2021	1.05%

Mid & Small Cap CH - B

31.03.2023	1.50%
31.03.2022	1.48%
31.03.2021	1.55%

1.12.3 Payment of reimbursements and granting of discounts

The fund management company and its agents may pay reimbursements to remunerate the distribution of fund units in Switzerland or from Switzerland.

More specifically, these reimbursements cover the following activities:
- general, objective and understandable information on the characteristics, opportunities and risks of the recommended fund;
- taking into account the experience and knowledge of the investor to whom the fund is recommended.

The reimbursements are not considered as discounts, although they are ultimately fully or partially paid out to investors.

The beneficiaries of the reimbursements ensure a transparent publication and inform investors, spontaneously and at no cost, about the amount of compensation they can receive for their distribution activity.

On request, they communicate the amounts actually received for the distribution of collective investment schemes to investors.

The fund management company and its agents, to reduce expenses and costs payable to investors and charged to the fund, do not grant any discounts within the scope of distribution activities in Switzerland or from Switzerland.

1.12.4 Fees and incidental costs charged to the investor (excerpt from § 18 of the fund contract)

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

Issuing commission accruing to the fund management company, custodian bank and/or distributors in Switzerland and abroad	0.50% maximum of the net asset value

- **Mid & Small Cap CH**

Issuing commission accruing to the fund management company, custodian bank and/or distributors in Switzerland and abroad	0.50% maximum of the net asset value
Redemption fee charged by the subfund	5.00% maximum of the net asset value

1.12.5 Commission sharing agreement and soft commissions

The fund management company did not enter into any commission sharing agreement.

The fund management company did not enter into any soft commissions agreement.

1.12.6 Investment in related collective investment schemes

With regard to investments in collective investment schemes that are directly or indirectly managed by the fund management company or by a company to which the management company is related by virtue of common management, control or a substantial direct or indirect stake, no issuing, redemption or management commission is charged.

1.13 Consulting reports

The prospectus with integrated fund contract, the basic information sheet and the latest annual or semi-annual reports may be obtained free of charge from the fund management company, the custodian bank and all distributors.

1.14 Legal form

The umbrella fund is an investment fund subject to Swiss law falling under “other traditional investment funds” as defined by the Federal Collective Investment Schemes Act of 23 June 2006.

The subfuds are based upon a collective investment agreement (fund contract), under which the fund management company undertakes to provide the investor with a stake in the corresponding subfund in proportion to the units acquired by the said investor, and to manage this subfund at its own discretion and for its own account in accordance with the provisions of the law and the fund contract, independently and in its own name. The custodian bank is party to the fund contract in accordance with the tasks conferred upon it by the law and the fund contract.

1.15 Key risks

The subfunds have essentially five kinds of risk: investment-related risk, market-related risk, risks linked to non-OECD countries, liquidity risk and currency risk. Risks inherent in bonds stem from the fact that the net asset value and revenue of the fund may fluctuate according to changes in bond interest rates and changes in the creditworthiness of investments.

Secondly, there is a market risk resulting from the value of investments, which relates to the one in progress on the markets. Taking into account the general stock market development and the securities included in the subfund portfolio, the net asset value may be subject to considerable fluctuations. A drop in value cannot be excluded. Revenue is not guaranteed for investors. It is therefore possible that their investment may result in loss.

Third, for Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds, risks are linked to “non-OECD markets” or “emerging markets”. These terms generally refer to markets of countries that are in the process of becoming modern industrialized nations, which therefore have high potential but also increased risk. Investments in bonds from emerging and non-OECD markets carry higher risks due to the greater volatility of such investments. In general, investments in emerging countries are associated with higher risk. These include the risk of liquidity bottlenecks, which can lead to relatively greater price fluctuations, the uncertainty of political, economic and social conditions and the associated risks of expropriation or confiscation, interest rate risk, exceptionally high inflation rate risk, prohibitive tax measures and other negative developments.

Thirdly, since the Mid & Small Cap CH subfund invests in small and mid-cap companies, it may be exposed to a decrease in asset liquidity in the event of low or no demand. Small and medium-cap companies tend to have thin markets compared to larger firms. Small-cap company shares may drastically lack liquidity.

As a result, under certain circumstances, the subfund will have great difficulty selling a position and the value of the fund’s assets may be subject to greater fluctuations than in the case of equity funds that concentrate their investments on large companies.

Fourth, the MID & SMALL CAP CH subfund, investing in small- and mid-cap companies, may be exposed to a decrease in liquid assets in the event of weak or no demand. Small- and mid-cap companies generally have less liquid markets than large-cap companies. The liquidity of small-cap stocks may become illiquid. Consequently, in certain circumstances, the subfund may have difficulty selling a position and the value of the fund’s assets may be subject to greater fluctuations than in the case of equity funds that concentrate their investments on large-cap companies.

Finally, the currency risk arising from investments in securities denominated in currencies other than the subfund’s accounting currency may be covered, partially covered or not covered against the subfund’s accounting currency.

1.16 Liquidity risk management

The fund management company ensures appropriate cash management. The fund management company assesses the liquidity of the umbrella fund each year according to the various scenarios it has documented. In particular, the fund management company has identified the following risks and planned the following appropriate measures.

The fund management company monitors subfund liquidity with appropriate procedures. It thus ensures that they are sufficiently liquid to meet redemption requests. In this regard, it takes into account the investment strategy, the frequency of transactions, the liquidity of the underlying assets and their valuation, as well as the composition of the investor circle. In addition, the subfunds are valued taking into account different portfolio stress scenarios and liquidity risks related to changes in the economic situation.

The fund management company regularly checks procedures and cash management organization. It also regularly assesses foreseeable liquidity risks.

Insofar as relevant information is available, the fund management company also regularly examines the composition of subfund investments, in order to identify valuation risks and the effects on subfund liquidity.

2. Information on the fund management company

2.1 General information on the fund management company

The fund management company is Solutions & Funds SA. Since its formation in 2008, the fund anagement company has managed investment funds as a limited company, with its head office at Morges.

2.2 Additional fund management company information

As at 31 December 2021, the fund management company was managing a total of 21 (twentyone) collective investment schemes in Switzerland (including subfunds), of which 17 (seventeen) are contractual investment funds and 4 (four) are SICAVs, with total assets under management of CHF 3'894 million.

In addition, the fund management company manages, in particular, the following tasks as at 31 December 2021:
- calculation of the net asset value (NAV);
- compilation of accounts;
- operation of the IT system;
- other administrative and logistical tasks (tax accounts for collective investment schemes, including subfunds, tax-at-source refunds, etc.);
- legal and tax advice to the extent required by the collective investment scheme (including subfunds).

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www.solutionsandfunds.com

2.3 Management and administration

The Board of Directors of Solutions & Funds SA is the following:

- Mr Michel Dominicé, President
  Senior Associate of Dominicé & Co. - Asset Management
- Mr Michel Abt, Vice-president
  Partner at the law firm FBT Avocats SA
- Mrs Nathalie Feingold, Independent Director
  Member of the Strategic Committees of Technology Companies
- Mr Arno Kneubühler, Administrator
  Managing Director at PROCIMMO SA

The Solutions & Funds SA management is the following:

- Mrs Andreea Stefanescu CEO
- Mrs Violaine Augustin-Moreau COO
- Mr Steven Wicki Head Business & Products

Members of management do not engage in any other activities save those deployed within the context of their service in Solutions & Funds SA.

2.4 Paid up subscribed capital

Since June 2020, the amount of the share capital subscribed by the management amounts to CHF 6.1 million. The share capital is divided into nominee shares and is entirely paid up. The share capital of Solutions & Funds SA is held by a varied group of Swiss professional investors from the banking, finance, real estate and wealth management sectors, all already active in different capacities in Swiss law funds or foreign funds approved for offer in Switzerland.

2.5 Delegation of investment decisions and other partial tasks

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

Investment decisions in respect of subfunds are delegated to Cornèr Banca SA, Lugano.

- **Mid & Small Cap CH**

The subfund's investment decisions are delegated to VV Vermögensverwaltung AG, Zug.

2.6 Exercise of membership or creditors' rights

The fund management company exercises the membership and creditors' rights associated with the investments of the subfunds it manages independently and exclusively in the interests of the investors. The fund management company will, upon request, provide investors with information on the exercise of membership or creditors' rights.

In the case of scheduled routine transactions, the fund management company is free to exercise membership or creditors' rights itself or to delegate their exercise to the custodian bank or a third party or to waive the exercise of these rights.

In the case of all other events that might have a lasting impact on the interests of the investors, such as, in particular, the exercise of membership or creditors' rights the fund management company holds as a member or creditor of the custodian bank or another related legal entity, the fund management company will exercise the voting rights itself or issue explicit instructions. In such cases, it may base its actions on information it receives from the custodian bank, the wealth manager, the company concerned, the advisors on proxy voting and other third parties, or on information it obtains from the media.

3. Information on the custodian bank

3.1 General information on the custodian bank

The custodian bank is UBS Switzerland AG. Founded in 2014 as a public limited company with its registered office in Zurich, UBS Switzerland AG took over on 14 June 2015 UBS AG's private and corporate client activities as well as its wealth management activities booked in Switzerland.

UBS Switzerland AG is a subsidiary of the UBS Group AG. Boasting a total consolidated balance sheet of USD 1,104,364 million and reported equity of USD 57,218 million as of 31 December 2022, UBS Group AG is one of the strongest financial institutions in the world. It employs 72,597 people in a highly developed international network of branches.

3.2 Additional custodian bank information

As a universal bank, UBS Switzerland AG offers a wide range of banking services. The custodian bank may entrust custody of the fund's wealth to a third party or to a central securities depository in Switzerland and abroad.

The custody of financial instruments may only be entrusted to a third-party or central depositaries subject to supervision. An exception to this rule is mandatory custody in a place where delegation to a third party or to a central depositary of securities subject to supervision is impossible, in particular due to binding legal requirements or the terms of the investment product.

The custodian bank is liable for damages caused by the agents insofar as it cannot demonstrate that it exercised the due diligence required by the circumstances regarding selection, training and monitoring tasks.

Collective and third-party custody means that the company no longer has individual ownership of the securities deposited, but only co-ownership of them. Furthermore, if third-party and central depositaries are not subject to supervision, they do not have to meet the organizational requirements imposed on Swiss banks. In the context of third-party custody, the laws and practices of the place of custody are applicable.

The custodian bank has been registered with the U.S. tax authorities as a Registered Deemed-Compliant Financial Institution under Model 2 IGA in accordance with sections 1471-1474 of the U.S. Internal Revenue Code (Foreign Account Tax Compliance Act, FATCA), including related texts).

4. Information on third parties

4.1 Payment service

The payment service is provided by UBS Switzerland AG in Zurich.

4.2 Distributors

Cornèr Banca SA, Via Canova 16, 6901 Lugano.

4.3 Delegation of investment decisions and other partial tasks

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

Investment decisions in respect of subfunds have been delegated to Corner Banca SA, Lugano.

Corner Banca SA is a Swiss bank that is subject to the supervision of the Swiss Financial Market Supervisory Authority FINMA.

Corner Banca SA has many years of experience in the banking business and is specialised in particular in asset management activities. Precise details of how its remit is to be fulfilled are laid down in an asset management agreement between Solutions & Funds SA and Corner Banca SA.

- **Mid & Small Cap CH**

The subfund's investment decisions are delegated to VV Vermögensverwaltung AG.

VV Vermögensverwaltung AG is a collective investment fund management company, subject to the supervision, in Switzerland, of the Federal Financial Market Supervisory Authority FINMA.

VV Vermögensverwaltung AG has long-standing experience in the management of investment funds.

The precise terms of execution of the mandate are laid down in a contract concluded between Solutions & Funds SA and VV Vermögensverwaltung AG.

5. Other information

5.1 Useful notes

- **Short Term Maturity CHF**
  Security number : 129058220
  Listing : CH1290582209
  Units : Swiss Franc (CHF)
  Launch date : Within the first half of 2024

- **Short Term Maturity EUR**
  Security number : 1066414
  Listing : CH0010664149
  Units : Euro (EUR)

- **Short Term Maturity USD**
  Security number : 1066427
  Listing : CH0010664271
  Units : U.S. Dollar (USD)

- **Mid & Small Cap CH**
  Security number : Class "A" shares : 49409092
  Class "B" shares : 49409093
  Listing : Class "A" shares : CH0494090928
  Class "B" shares : CH0494090936
  Units : Swiss Franc (CHF)

5.2 Umbrella fund or subfund publications

Further information on the umbrella fund and the subfunds may be found in the latest annual or semi-annual report. The latest information can also be found on the Internet at the website *www.solutionsandfunds.com*.

In the event of a change to the fund contract, a change in the fund management company or the custodian bank, as well the dissolution of the subfunds, the corresponding notice will be published by the fund management company on the website of Swiss Fund Data AG (*www.swissfunddata.ch*).

Prices will be published daily for each subfund and for each day on which the corresponding units are issued or redeemed on the website of Swiss Fund Data AG (*www.swissfunddata.ch*) and on *www.solutionsandfunds.com*. The fund management company may also publish the prices in newspapers or other electronic media.

5.3 Sales restrictions

With respect to the issue and redemption of units of the subfunds outside Switzerland, the regulations valid in the country in question apply.

a) At the moment, the subfunds have not been authorized for sale outside Switzerland.
b) The units of this fund may not be offered, sold or delivered within the United States (USA) or to "US persons" as defined in the U.S. Securities Act of 1933 ("Securities Act"), by the IRS (*Internal Revenue Service*) and/or by the CFTC Reg 4.7 (*Commodity Futures Trading Commission*). In addition, the offer or sale of units of the fund in the United States by a distributor may violate the registration requirements laid down by the Securities Act. The subscription of units by FFIs (foreign financial institutions) as defined in the FATCA Directive may only be accepted if these entities have registered pursuant to the directive and have obtained a GIIN (*Global Intermediary Identification Number*).

The fund management company and the custodian bank may prohibit or restrict the purchase, exchange or transfer of units to individuals and legal entities, in certain countries or regions.

6. Other investment information

6.1 Past performance

Historical results of the umbrella fund, in respect of the subfunds:

- **Short Term Maturity CHF**
  This data will be available for the first time at the end of the fund's annual closing in 2025.

- **Short Term Maturity EUR**

31.03.2023	:	EUR	38,561.53
31.03.2022	:	EUR	-133,789.32
31.03.2021	:	EUR	214,659.00

- **Short Term Maturity USD**

31.03.2023	:	USD	1,260,232.23
31.03.2022	:	USD	-127,124.54
31.03.2021	:	USD	1,017,296.45

- **Mid & Small Cap CH**

31.03.2023	:	CHF	-4,274,376.54
31.03.2022	:	CHF	-221,378.73
31.03.2021	:	CHF	14,916,369.36

6.2 Typical investor profile

- **Short Term Maturity CHF**
- **Short Term Maturity EUR**
- **Short Term Maturity USD**

This subfunds are appropriate for investors with a low propensity for risk and who wish to have access to the capital invested in the short term.

- **Mid & Small Cap CH**

The subfund is intended for investors who can tolerate high risk in return for a substantial increase in their capital in the long term. The subfund seeks long-term capital gains by investing primarily in equities and other securities or in the equity securities of Swiss companies.

7. Detailed regulations

All further information on the umbrella fund and subfunds, such as the method used for the valuation of the subfunds' assets, a list of all fees and incidental costs charged to the investor and the subfunds, and the appropriation of net income can be found in detail in the fund contract.

Part 2: The fund contract

I Basic principles

§ 1 Name of the fund; company name and registered office of the fund management company, the custodian bank and the wealth manager

1. A contractual umbrella fund of the type "other traditional securities fund's" has been established under the name of Cornèr Funds (referred to below as the "umbrella fund") in accordance with Art. 25 et seq. in conjunction with Art. 68 et seq. and Art 92 et seq. of the Swiss Federal Act on Collective Investment Schemes of 23 June 2006 (CISA). The umbrella fund is split into the following subfunds:
   - Short Term Maturity CHF
   - Short Term Maturity EUR;
   - Short Term Maturity USD;
   - Mid & Small Cap CH.

2. The fund management company is Solutions & Funds SA, Morges.

3. The custodian bank is UBS Switzerland SA, Zurich.

4. For the Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds, the wealth manager is Cornèr Banca SA, Lugano.

   For the Mid & Small Cap CH subfund, the wealth manager is VV Vermögensverwaltung AG, Zug.

II Rights and obligations of the parties to the contract

§ 2 The fund contract

The legal relationship between the investors, on the one hand, and the fund management company and the custodian bank, on the other, shall be governed by the present fund contract and the applicable provisions of the Collective Investment Schemes Act.

§ 3 Fund management company

1. The fund management company manages the subfunds at its own discretion and in its own name, but on behalf of the investors. It decides in particular on the issue of units, the investments and their valuation. It calculates the net asset value of the subfunds and determines the issue and redemption prices of units as well as distributions of income. It exercises all rights associated with the umbrella fund and subfunds.

2. The fund management company and its agents are subject to the duties of loyalty, due diligence and disclosure. They act independently and exclusively in the interests of the investors. They implement the organizational measures that are necessary for proper management. They report on the collective investments they administer and disclose all the fees and costs charged directly or indirectly to investors, as well as third-party remuneration, in particular commissions, rebates and other financial benefits.

3. The fund management company may delegate investment decisions for all or certain subfunds as well as certain tasks to third parties provided this is in the interest of proper management. It shall commission only persons who have the skills, knowledge and experience required to carry out this activity, as well as the necessary authorizations. It provides instructions and carefully monitors the tasks performed by third parties. Investment decisions may only be delegated to those with the required authorization. The fund management company remains responsible for compliance with prudential requirements and ensures that investor interests are protected when tasks are delegated. The fund management company is responsible for the actions of persons to whom it has entrusted tasks as well as for its own actions.

4. The fund management company submits, with the consent of the custodian bank, the amendments to this investment fund contract to the supervisory authority for approval (see § 27). It can create new subfunds with the consent of the custodian bank and the approval of the supervisory authority.

5. The fund management company may combine certain subfunds with other subfunds or with other investment funds in accordance with the provisions set down under § 24 or transform them into another legal form of collective investment scheme in accordance with the provisions set down under § 25 or dissolve the said subfunds in accordance with the provisions set down under § 26.

6. The fund management company is entitled to receive the fees stipulated in § 18 and 19. It is further entitled to be released from the liabilities assumed in the proper execution of its tasks, and to be reimbursed for expenses incurred in connection with such liabilities.

§ 4 Custodian bank

1. The custodian bank is responsible for the safekeeping of assets of the subfunds. It handles the issue and redemption of fund units as well as payments on behalf of the subfunds.

2. The custodian bank and its agents are subject to the duties of loyalty, due diligence and disclosure. They act independently and exclusively in the interests of the investors. They implement the organizational measures that are necessary for proper management. They report on the collective investments they administer and disclose all the fees and costs charged directly or indirectly to investors, as well as remuneration from third parties, in particular commissions, rebates and other financial benefits.

3. The custodian bank is responsible for keeping the accounts and the deposits but it cannot dispose of the assets therein contained.

4. It ensures that, with respect to transactions involving the assets of the fund, the equivalent amount is transferred to it within the usual time limits. If this is not the case, it informs the fund management company and requests the counterparty to offset the assets concerned if possible.

5. The custodian bank maintains the necessary records and accounts in order to be able to distinguish at all times the assets in custody of the various subfunds of collective investment schemes. It verifies the ownership of the fund management company for assets that cannot be received in custody and keeps the relevant records.

6. The custodian bank may delegate the safekeeping of the assets of the subfunds to third-party custodians or to collective securities depositaries in Switzerland or abroad, provided this is done in the interest of appropriate safekeeping. It monitors and verifies whether the delegated third-party or central depository:
   a) has an adequate business organization, financial guarantees and the technical qualifications required by the type and complexity of the assets entrusted to it;
   b) is subject to regular external audits and whether, accordingly, the financial instruments are in its possession;
   c) keeps the assets received by the custodian bank in such a manner that is possible at any time to identify them as belonging to a subfund, through periodic adjustments of the positions by the Custodian Bank;
   d) complies with the provisions that apply to the custodian bank with regard to the tasks delegated to it and the prevention of conflicts of interest.

   The custodian bank is liable for the damage resulting from the delegation mandate to the extent that it cannot demonstrate that it has exercised all due diligence with regard to its selection, instruction and supervision duties. The prospectus contains explanations of the risks inherent in the delegation of custody to third parties and central securities depositories. For financial instruments, the delegation of custody pursuant to the preceding paragraph may only be granted to a third party or a central securities depository that is subject to supervision. This rule does not apply, however, to mandatory custody in a place where delegation to third parties or to central securities depositories under supervision is not possible, in particular due to mandatory legal requirements or the terms of the investment product. Investors should be informed in the prospectus that the securities are kept in custody by a third party or a central securities depository that is subject to supervision.

7. The custodian bank ensures that the fund management company complies with the law and the fund contract. It checks whether the calculation of the net asset values and of the issue and redemption prices of the units, as well as the investment decisions, are in compliance with the law and the fund contract, and whether the income is appropriated in accordance with the fund contract. The custodian bank is not responsible for the choice of investments which the fund management company makes in accordance with the investment regulations.

8. The custodian bank is entitled to receive the fees stipulated in §§18 and 19. It is further entitled to be released from the liabilities assumed in the proper execution of the fund contract, and to be reimbursed for expenses incurred in connection with such liabilities.

§ 5 The investors

1. Investors' eligibility is not subject to constraints. For some classes, limitations to the meaning of § 6 prov. 4 may apply. The fund management company works with the custodian bank to ensure that investors comply with the requirements relating to investor circle requirements.

2. On concluding the contract and making a payment in cash, investors acquire a claim against the fund management company in respect of a participation in the assets and income of a subfund of the umbrella fund. The investor's claim is evidenced in the form of fund units.

3. The investors are obliged only to remit payment for the units of the subfund they subscribe. They shall not be held personally liable for the liabilities of the umbrella fund or the subfund.

4. Investors may at any time request that the fund management company supply them with the necessary information regarding the basis on which the net asset value per unit is calculated. If investors express an interest in more detailed information on specific business transactions effected by the fund management company, such as the exercising of member and creditors' rights, or risk management, the fund management company must be given such information by the fund management company at any time. The investors may request at the courts of the registered office of the fund management company that the auditors or another expert investigate the matter which requires clarification and furnish the investors with a report.

5. The investors may terminate the fund contract and demand that their share in the subfund concerned be paid out in cash on each business day.

6. Investors must prove, on request to the fund management company and/or the custodian bank and their agents, that they meet or still meet the legal or contractual fund requirements for participation in a subfund or unit class. They must also immediately inform the custodian bank, the fund management company and their agents as soon as they no longer meet these conditions.

7. A subfund or a unit class may be subject to a soft close, whereby it remains closed to new subscriptions when the fund management company considers that the closure is necessary to protect the interests of existing investors. The soft close of a subfund or unit class applies to new subscriptions or to a change within the subfund or unit class, but not to redemptions, transfers or changes with respect to the subfund or unit class. A subfund or a unit class may be subject to a soft close without investors being notified.

8. The fund management company in conjunction with the custodian bank must make an enforced redemption of the units of an investor at the current redemption price if:
   a) this is necessary to safeguard the reputation of the financial market, specifically to combat money laundering;
   b) the investor no longer meets the statutory or contractual requirements for participation in a subfund.

9. The fund management company in conjunction with the custodian bank can also make an enforced redemption of the units of an investor at the current redemption price if:
   a) the participation of the investor in a subfund is such that it could have a significant detrimental impact on the economic interests of the other investors, in particular if the participation could result in tax disadvantages for the umbrella fund and/or a subfund in Switzerland or abroad;

b) the investors have acquired or hold their units in violation of provisions of a law to which they are subject either in Switzerland or abroad, of the present fund contract or the prospectus;
c) there is a detrimental impact on the economic interests of the investors, in particular in cases where individual investors seek by way of systematic subscriptions and immediate redemptions to achieve a pecuniary gain by exploiting the time differences between the setting of the closing prices and the valuation of the subfund's assets (Market Timing).

§ 6 Units and unit classes

1. The fund management company can establish different unit classes and can also merge or dissolve unit classes for each subfund at any time subject to the consent of the custodian bank and the approval of the supervisory authority. All unit classes embody an authorization to a share in the undivided assets of the subfund concerned, which are not segmented. This share may differ due to class-specific costs or distributions or class-specific income and the various classes may therefore have different net asset values per unit of a given subfund.
   Class-specific costs are covered by the assets of the subfund as a whole.
2. Notification of the establishment, dissolution or merger of unit classes shall be published in the media of publication. Only mergers shall be deemed a change to the fund contract pursuant to § 27.
3. The various unit classes of the subfunds may differ from one another in terms of their cost structure, reference currency, currency hedging, policy with regard to distribution or reinvestment of income, the minimum investment required and investor eligibility.

   Fees and costs are only charged to the unit class for which the respective service is performed. Fees and costs that cannot be unequivocally allocated to a unit class shall be charged to the individual unit classes on a pro rata basis in relation to their share of the subfund's assets.
4. The Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds are not subdivided into share classes.

   For the Mid & Small Cap CH subfund, there are currently two share classes bearing the following designations:
   - class "A": intended for qualified investors in accordance with Articles 10 to 3 and 3ter of CISA. There is no limit as to the number of units that may be issued. Class "A" shares are only bearer units;
   - class "B": intended for all investors. There is no limit as to the number of units that may be issued. Class "B" shares are only bearer units.
5. The units shall not take the form of actual certificates but shall exist purely as book entries. The investor is not entitled to request the issuance of a registered or bearer certificate.
6. The custodian bank and the fund management company must instruct investors who no longer meet the prerequisites for holding a unit class to return their units within 30 calendar days as defined in § 17, to transfer them to a person who meets the aforementioned prerequisites or to exchange them for units of another class that meet the prerequisites.

   If the investor does not comply with this request, the fund management company must, in collaboration with the custodian bank, make a forced exchange into another class of units, as defined in § 5, prov. 8, or, if this proves to be impracticable, make a forced redemption of the concerned units.

III Investment policy guidelines

A Investment principles

§ 7 Compliance with investment regulations

1. In selecting individual investments of each subfund, the fund management company must adhere to the principle of a weighted breakdown of risks and must observe the percentage limits defined below. These percentages relate to the assets of the individual subfunds at market value and must be complied with at all times. The individual subfunds must have fulfilled the terms of the investment restrictions no later than six months after the expiry of the subscription period (launch).
2. If the limits are exceeded as a result of market-related changes, the investments must be reduced to the permitted level within a reasonable period, taking due account of the investors' interests. If the limits relating to derivatives pursuant to § 12 below are exceeded due to a change in the delta, this is to be rectified within three bank working days at the latest, taking due account of the investors' interests.

§ 8 Investment policy

1. Within the framework of the specific investment policy of each subfund pursuant to prov. 2, the fund management company may invest the assets of the individual subfunds in the following investments. The risks involved in these investments must be disclosed in the prospectus.
   a) securities, i.e. securities issued in large quantities and non-securitized rights with the same function (uncertified securities) that are traded on a stock exchange or another market open to the public, and that embody a participation right or claim or the right to acquire such securities and uncertified securities by way of subscription or exchange, for example warrants. Investments in securities from new issues are only permitted if their admission to a stock exchange or another regulated market open to the public is envisaged under the terms of issue. If they have not been admitted to a stock exchange or another regulated market open to the public within a year after their acquisition, these securities must be sold within one month or included under the restriction set down in prov. 1 let. g.
   b) Derivatives, if (i) the underlying securities are securities pursuant to let. a, derivatives pursuant to let. b, units in collective investment schemes pursuant to let. c, money market instruments pursuant to let. d, financial indices, interest rates, exchange rates, credits or currencies, and (ii) the underlying securities are permitted as investments under the fund contract. Derivatives are either traded on a stock exchange or another regulated market open to the public, or are traded OTC.

OTC transactions are permitted only if (i) the counterparty is a regulated financial intermediary specializing in such transactions under supervision, and (ii) the OTC products must be tradable daily or their return to the issuer must be possible at any time. In addition, it shall be possible for them to be valued in a reliable and transparent manner. Derivatives may be used pursuant to § 12.

c) Structured products, if (i) the underlying securities are securities pursuant to let. a, derivatives pursuant to let. b, structured products pursuant to let.c, units in collective investment schemes pursuant to let. d, money market instruments pursuant to let. e, financial indices, interest rates, exchange rates, credits or currencies, and (ii) the underlying securities are permitted as investments under the fund contract. Structured products are either traded on a stock exchange or another regulated market open to the public, or are traded OTC.
OTC transactions are permitted only if (i) the counterparty is a regulated financial intermediary specializing in such transactions under supervision, and (ii) the OTC derivative products can be traded daily or their return to the issuer is possible at any time. In addition, it shall be possible for them to be valued in a reliable and transparent manner.

d) Units of other collective investment schemes (target funds), provided that (i) their documents restrict investments for their part in other target funds to a total of 10%; (ii) these target funds are subject to provisions equivalent to those pertaining to securities funds in respect of the purpose, organization, investment policy, investor protection, risk diversification, asset segregation, borrowing, lending, short-selling of securities and money market instruments, the issuing and redemption of fund units and the content of the semi-annual and annual reports; and (iii) these target funds are authorized as collective investment schemes in their country of domicile and are subject there to supervision which is equivalent to that in Switzerland and which serves to protect investors, and that international legal assistance is ensured.
The fund management can only invest a maximum of 30% of the assets of each compartment in units of target funds which do not meet the relevant directives of the European Union (undertakings for collective investment in transferable securities, UCITS), which are however equivalent to those directives or to securities funds under art. 53 of CISA.
The fund management company may acquire, subject to § 19, units of target funds that are directly or indirectly managed by the fund management company or by a company to which it is related by virtue of common management, control or a substantial direct or indirect stake.

e) Money market instruments, provided these are liquid, can be readily valued and are traded on an exchange or other regulated market open to the public; money market instruments which are not traded on an exchange or other regulated market open to the public may be acquired only if the issue or the issuer is subject to provisions regarding creditor or investor protection and if the money market instruments are issued or guaranteed by issuers pursuant to Art. 74 app. 2 CISO.

f) Sight or time deposits with terms to maturity not exceeding twelve months with banks domiciled in Switzerland or in a member state of the European Union or in another country, provided that the bank is subject to supervision in its country which is equivalent to the supervision in Switzerland.

g) Investments other than those specified in a. to f. above up to a total of 10% of the assets of an individual subfund. The following are not permitted: (i) investments in precious metals, precious metals certificates, commodities and commodity certificates as well as (ii) actual short sales of investments of all types.

2. Investment policies for each subfund.

2.1 Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD.

The investment objective of these subfunds consists mainly in achieving a continuous positive return.

a) The fund management company invests the subfunds' assets in:
   - aa) money market instruments (fiduciary deposits, money market book claims, certificates of deposit, commercial paper), denominated in all currencies of OECD member countries issued by international public law organizations or private debtors;
   - ab) bank deposits denominated in all currencies of OECD member countries at Swiss and foreign banks;
   - ac) fixed coupon bonds, variable interest rate bonds provided that the interest rate is adjusted at least once yearly;
   - ad) variable interest rate preferred shares;
   - ae) units of other collective investment schemes which invest their assets exclusively in the aforementioned securities;
   - af) derivatives (including warrants) on securities, interest rates and currencies.

b) Given the investments in derivative financial instruments pursuant to § 12, the average duration of the subfund portfolio cannot exceed one year and the residual duration of the individual investments must not exceed three years. For variable return investments, expiration is upon the next change in interest rates. Preferred shares have a fixed expiration date.

c) Furthermore, the fund management company must comply with the investment limits herebelow, which refer to the subfund assets, after subtracting liquid assets:
   - other overall collective investment schemes at a maximum of 49%;
   - each subfund will be able to have a maximum net monetary exposure, not hedged against currency risk, of 33%;
   - fixed and variable rate bonds must be issued by issuers with a minimum rating equivalent to "Investment grade". All these issuers must be from OECD member countries or top quality Swiss public law organizations;

- at least 90% of the net assets of the subfunds shall be invested in money market instruments and bank deposits denominated in all currencies of OECD member countries and in fixed coupon or variable interest rate bonds. The subfunds may alternatively invest in units of other collective investment schemes;
- a maximum of 10% of the net assets of the subfunds may be invested in "sub-investment grade" rated and/or unrated bonds and/or in bonds issued by non-OECD countries. However, bonds must be issued in the currency of one of the OECD member countries. The funds concerned must then implement a diversified investment strategy.

2.2 Mid & Small Cap CH.

This subfund's main investment objective is to achieve long-term capital growth by investing in small and medium-sized companies that are listed on the Swiss stock exchange, Swiss Performance Index (SPI) shares, including money market instruments.

a) the fund management company invests the subfund's assets in:
   aa) shares, other investment securities and rights to small and medium-sized companies that are listed on the Swiss stock exchange, including securities on the Swiss Performance Index (SPI); the companies included on the SPI Index, excluding the SMI Index, are companies that can be defined as small and medium-sized companies;
   ab) money market instruments (fiduciary deposits, book debts, certificates of deposit, commercial paper) denominated in CHF and EUR issued by public authorities or private debtors.
b) The fund management company invests at least 51% of the fund's assets in equities, other securities and rights.
c) In addition, the subfund is authorised to invest up to 20% of the subfund's assets outside the benchmark, but only in Swiss equities on the SMI index.

3. In addition to market risks, derivatives are also subject to counterparty risk, i.e. the risk that the party to the contract may not be able to meet its obligations and may thus cause a financial loss.

4. The fund management company ensures appropriate liquidity management. Details are set out in the prospectus.

§ 9 Liquid assets

The fund management company may also hold liquid assets for each subfund in an appropriate amount in the accounting currency of the subfund concerned and in any other currency in which investments for the subfund concerned are permitted. Liquid assets comprise bank deposits at sight or on demand with maturities of up to twelve months.

B. Investment techniques and instruments

§ 10 Securities lending

The fund management company does not engage in securities lending.

§ 11 Securities repurchase agreements

The fund management company does not engage in repo and reverse repo transactions.

§ 12 Instruments in derivatives – Commitment I approach

1. The fund management company may use derivatives. It ensures that, even in exceptional market conditions, the financial effect of using derivatives does not result in a deviation from the investment objectives set out in the present fund contract, the prospectus and the basic information sheet, and that it does not change the investment character of the Investment Fund. Furthermore, the underlyings of the derivatives must be permissible investments according to the present fund contract.

   In connection with collective investment schemes, derivatives may be used only for currency hedging purposes, with the exception of the hedging of market, interest rate and credit risks in the case of collective investment schemes for which the risks can be determined and measured unequivocally

2. The Commitment I approach will be applied to the assessment of risk. The use of derivatives does not exercise leverage on the subfund assets, nor does it correspond to a short sale.

   The provisions in these paragraphs are applicable to all subfunds.

3. Only basic forms of derivatives (i.e. in the strict sense) can be used, namely:
   a) Call and Put options, the value of which at maturity depends strictly (on a straight-line basis) on the positive or negative difference between the market value of the underlying assets and the strike price, which is equal to zero if the difference is of the opposite sign;
   b) Credit Default Swap (CDS);
   c) Swap, the payments of which depend strictly and in a "non-path dependent" manner on the underlying value or an absolute amount;
   d) A Future or Forward contract, the value of which depends strictly on the underlying value.

4. The economic effect of using derivative corresponds either to a sale (positions reducing the commitment) or a purchase (positions increasing the commitment) of an underlying security.

5. a) Derivatives that decrease the commitment must be permanently hedged by the corresponding underlying securities subject to b) and d).
   b) Hedging by other investments is acceptable if the derivative reducing the commitment relates to an index that is:
      - calculated by an external, independent service;
      - representative of investments serving as a hedge;
      - in adequate correlation to the investments.
   c) The fund management company must be able to sell the underlying securities or investments at all times and without restrictions.
   d) A derivative decreasing the commitment can be weighted by the "delta" upon calculation of the corresponding underlying securities.

6. In the case of exposure-increasing derivatives, the underlying equivalents must be covered at all times by near-money assets pursuant to Art. 34 para. 5 CISO-FINMA. In the case of futures, options, swaps, and forwards, the underlying equivalent is determined in accordance with Annex 1 CISO-FINMA.

7. When netting derivative positions, the fund management company must comply with the following rules:
   a) Counter positions in derivatives based on the same underlying as well as counter positions in derivatives and in investments in the same underlying may be netted, irrespective of the maturity date of the derivatives, provided that the derivative transaction was concluded with the sole purpose of eliminating the risks associated with the derivatives or investments acquired, no material risks are disregarded in the process, and the conversion amount of the derivatives is determined pursuant to Art. 35 CISO-FINMA.
   b) If the derivatives in hedging transactions do not relate to the same underlying as the asset that is to be hedged, for netting to be permitted a further condition must be met in addition to the rules set out under a) above, namely that the derivative transactions may not be based on an investment strategy that serves to generate profit. Furthermore, the derivative must result in a demonstrable reduction in risk, the risks of the derivative must be balanced out, the derivatives, underlyings, or assets that are to be netted must relate to the same class of financial instruments, and the hedging strategy must remain effective even under exceptional market conditions.
   c) Derivatives that are used solely for currency hedging purposes and do not result in leverage or contain additional market risks may be netted when calculating the overall exposure arising from derivatives without having to meet the requirements set out under b) above.
   d) Covered hedging transactions by interest derivatives are permitted. Convertible bonds do not have to be taken into account when calculating the overall exposure to derivatives.

8. The fund management company may use both standardized and non-standardized derivatives. It may conclude transactions in derivative financial instruments on an exchange or other regulated market open to the public, or in OTC (over-the-counter) trading.

9. a) The fund management company may conclude OTC transactions only with regulated financial intermediaries specialized in such types of transactions that ensure proper execution of the contract. If the counterparty is not the custodian bank, the former or its guarantor must have a high credit rating.
   b) An OTC derivative must be valued daily in a reliable and comprehensible manner, and must be able to be sold, redeemed or settled by a reverse transaction at any time and at the market value.
   c) If no market price is available for an OTC derivative, it must be possible to determine the price at any time using an appropriate valuation model that is recognized in practice, based on the market value of the underlyings from which the derivative was derived.
   Before concluding a contract for such a derivative, specific offers must, in principle, be obtained from at least two counterparties, and the contract concluded with the counterparty providing the most favorable offer in terms of price. Deviations from this principle are permitted for reasons relating to risk diversification, or where other parts of the contract such as credit rating or the range of services offered by the counterparty render another offer more advantageous overall for the investors. Furthermore, and by way of exception, the requirement to obtain offers from at least two potential counterparties may be dispensed with if this is in the investors' best interests. The reasons for doing so must be clearly documented, as must the conclusion of the contract and pricing.
   d) As part of an OTC transaction, the fund management company and its agents may only accept collateral that meets the requirements of Art. 51 CISO-FINMA. The issuer of the collateral must have a high credit quality and the collateral cannot be issued by the counterparty or by a company that belongs to or is dependent on the counterparty's group.
   The collateral must be highly liquid, be traded at a transparent price on an exchange or other regulated market open to the public, and be valued at least on each trading day.
   As part of collateral management, the fund management company and its agents must fulfil the obligations and requirements provided by art. 52 CISO-FINMA. More specifically, they are required to diversify the collateral appropriately in terms of countries, markets and issuers; appropriate diversification of issuers is deemed to have been achieved if the collateral of a single issuer held does not correspond to more than 20 percent of the net asset value. Deviation from this rule is permitted with respect to investments issued or guaranteed by a public-law entity pursuant to Article 83 CISO.
   Furthermore, the fund management company and its agents must be able to obtain power of disposal over, and authority to dispose of, the collateral received at any time in the event of default by the counterparty, without involving the counterparty or obtaining its consent.
   The collateral must be kept at the custodian bank. The collateral received may be kept by a regulated third party custodian at the request of the fund management company, if the ownership of the collateral is not transferred and if the third party custodian is independent of the counterparty.

10. In complying with the statutory and contractual investment restrictions (maximum and minimum limits), derivatives must be factored in accordance with the legislation on collective investment schemes.

11. The prospectus contains other particulars on:
    - the importance of derivatives in the context of investment strategy;
    - the effect of derivatives transactions on the subfund risk profiles;
    - the risk of derivative counterparty;
    - credit derivatives;
    - the collateral security strategy.

§ 13 Taking up and extending loans

1. The fund management company may not grant loans for the fund and/or the subfunds' account.
2. For each subfund, the fund management company may borrow the equivalent of up to 10% of the net assets of the said subfund on a temporary basis.

§ 14 Pledging of the subfunds' assets

1. The fund management cannot pledge or use as guarantee more than 25% of the assets of any subfund.
2. The subfunds' assets may not be encumbered by issuing guarantees.
   A credit derivative increasing a commitment cannot be used as a guaranty in the sense of this paragraph.

C Investment restrictions

§ 15 Risk diversification

1. The regulations on risk diversification pursuant to § 15 shall include the following:
   a) investments pursuant to § 8, with the exception of index-based derivatives, provided the index is sufficiently diversified, is representative of the market it relates to and is published in an appropriate manner;
   b) liquid assets pursuant to § 9;
   c) claims against counterparties arising from OTC transactions.

   The regulations on risk distribution apply to each subfund individually.
2. Companies which form a group in accordance with international accounting regulations are deemed to be a single issuer.
3. The fund management company may, for the Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds, including derivatives and structured products, invest for the Shortup to a maximum of 10% of the assets of a subfund in securities and money market instruments issued by the same issuer, with the exception of UBS Group AG, for which this limit is raised to 20% of the assets of each subfund. The total value of the securities and money market instruments of issuers in which more than 5% of the assets of a subfund are invested may not exceed 40% of the assets of the corresponding subfund. Subject to the provisions under prov. 5 and 6.
4. For the Mid & Small Cap CH subfund, the fund management company may invest up to 10% of the subfund's assets in securities of the same issuer. The total value of transferable securities and money market instruments of issuers, from which more than 5% of the assets of a subfund have been invested, may not exceed 60% of the subfund's assets. The provisions in chapters 5 and 6 shall remain reserved.
5. The fund management company may invest up to a maximum of 20% of the assets of a subfund in sight and term deposits with the same bank. Both liquid assets pursuant to § 9 and investments in bank deposits pursuant to § 8 shall be included in this limit.
6. The fund management company may invest up to a maximum of 5% of the assets of a subfund in OTC transactions with the same counterparty.
   If the counterparty is a bank domiciled in Switzerland or in a member state of the European Union or another country in which it is subject to supervision equivalent to that in Switzerland, this limit shall be increased to 10% of the assets of the subfund concerned.
   If the claims arising from OTC transactions are hedged using collateral in the form of liquid assets pursuant to Art. 50 to 55 CISO-FINMA in accordance with the relevant provision of the Swiss Liquidity Ordinance, such claims are not included in the calculation of counterparty risk.
7. Investments, deposits and claims pursuant to provisions 3 to 6 above and issued by the same issuer/borrower may not in total exceed 20% of the assets of a subfund. (with the exception of the higher limits pursuant to provisions 13 and 14 below).
8. Investments pursuant to provision 3 above of the same group of companies may not in total exceed 20% of the assets of a subfund. subject to the higher limits pursuant to provisions 13 and 14 below.
9. The fund management company may invest a maximum of 20% of the assets of a subfund in units of the same target fund.
10. The fund management company may not acquire equity securities which in total represent more than 10% of the voting rights in a company or which would enable it to exert a material influence on the management of an issuing company.
11. The fund management company may acquire for the assets of a subfund up to a maximum of 10% of the non-voting equity and debt instruments and/or money market instruments of the same issuer as well as a maximum of 25% of the units of other collective investment schemes. These restrictions do not apply if the gross amount of the debt instruments, money market instruments or the units of other collective investment schemes cannot be calculated at the time of the acquisition.
12. The restrictions in provisions 10 and 11 above do not apply in the case of securities and money market instruments that are issued or guaranteed by a country or a public-law entity from the OECD or by an international public-law organization to which Switzerland or a member state of the European Union belongs.
13. The limit in provision 3 above is increased from 10% to 35% if the securities or money market instruments are issued or guaranteed by an OECD country, a public-law entity from the OECD, or by an international public-law organization to which Switzerland or a member state of the European Union belongs. The aforementioned securities or money market instruments will not be taken into account in the application of the 40% limit pursuant to prov. 3. However, the individual limits specified in provisions 3 and 6 may not be added together with the existing limit of 35%.
14. The limit in provision 3 above is increased from to 100% if the securities [or money market instruments] are issued or guaranteed by an OECD country, a public-law entity from the OECD, or by an international public-law organization to which Switzerland or a member state of the European Union belongs.

In this case, the subfund concerned must invest in securities or money market instruments from at least six different issues; no more than 30% of the assets of the subfund concerned may be invested in securities or money market instruments from the same issue. The aforementioned securities or money market instruments will not be taken into account in the application of the 40% limit pursuant to provision 3.

The aforementioned authorized issuers / guarantors are:
- OECD member states;
- KFW (Kreditanstalt für Wiederaufbau);
- OKB (Oesterreichische Kontrollbank);
- EIB (European Investment Bank);
- IADB (Interamerican Development Bank);
- IBRD (International Bank for Reconstruction and Development);
- ADB (Asian Development Bank);
- COE (Council of Europe);
- Eurofima;
- Deutsche Treuhandanstalt;
- German Unity Fund;
- FNMA (Federal National Mortgage Association);
- EBRD (European Bank for Reconstruction and Development);
- AFDB (African Development Bank);
- Asfinag (Autobahn & Schnellstrassenfinanzierungs AG);
- NIB (Nordic Investment Bank);
- Depfa (Deutsche Pfandbriefbank).

IV Calculation of the net asset values and issue and redemption of units

§16 Calculation of the net asset values

1. The net asset value of each subfund and the quota share of the different classes is determined at market value at the end of the annual financial year and on each day when units are issued or redeemed. On days when the stock exchanges / markets in the main investment countries of the subfund concerned are closed (e.g. : bank and stock exchange holidays), the assets of a subfund will not be calculated.
2. Securities traded on a stock exchange or another regulated market open to the public shall be valued at the current prices paid on the main market. Other investments or investments for which no current market value is available shall be valued at the price which would probably be obtained in a diligent sale at the time of the valuation. In such cases, the fund management company shall use appropriate and recognized valuation models and principles to determine the market value.
3. Open-ended collective investment schemes are valued at their redemption price / net asset value. If they are regularly traded on a stock exchange or another regulated market open to the public, the fund management company can value such funds in accordance with prov. 2.
4. The value of money market instruments that are not traded on a stock exchange or another regulated market open to the public is determined as follows: the valuation price of such investments is successively adjusted in line with the repayment price, taking the net purchase price as the basis and ensuring that the investment returns calculated in this manner are kept constant. If there are significant changes in the market conditions, the valuation principles for the individual investments will be adjusted in line with the new market returns. If there is no current market price in such instances, the calculations are as a rule based on the valuation of money market instruments with the same characteristics (quality and domicile of the issuer, issuing currency, term to maturity).
5. Bank deposits are valued on the basis of the amount due plus accrued interest. If there are significant changes in the market conditions or the credit rating, the valuation principles for time deposits will be adjusted in line with the new circumstances.
6. The net asset value of a unit of a subfund is determined by the market value of this subfund's assets, minus all this subfund's liabilities, divided by the number of units in circulation. It will be rounded to CHF, EUR or USD 0.01 of the subfund and the share in question.
7. Quota shares at the market value of the fund's net assets (fund assets, less liabilities) attributable to the different share classes, are defined for the first time during the first issue of several share classes (when this occurs at the same time) or during the first issue of another class on the basis of incoming results for each share class in the fund. The quota share is recalculated for each subsequent event:
   a) when issuing and redeeming subfund units;
   b) on the Distribution Record Date, if (i) such distributions only belong to different share classes (distribution classes) or if (ii) distributions to the different share classes have a different percentage to their net asset value, or if (iii) different commissions or fees are applied to distributions of different share classes as a percentage of their net asset value;
   c) when calculating the asset value, when attributing commitments (including fees and commissions due or accrued) to the different share classes, as long as the commitments of the different share classes, as a percentage of their net asset value, are different, namely when (i) different commission rates are applied for the different classes, or if (ii) costs specific to the share classes are charged;
   d) when calculating the asset value, when allocating income or capital gains to the different share classes, provided that capital gains or income result from transactions that only benefit a class or several classes of shares, but not in proportion to their share of the fund's assets.

§17 Issue and redemption of units

1. Subscription and redemption orders for units are accepted up to a certain cut-off time specified in the prospectus on the day the orders are placed. The definitive price of the units for the issues and redemptions is determined at the earliest on the bank working day following the day the order is placed (valuation day). This is referred to as 'forward pricing'. The detailed modalities are set down in the prospectus.

2. The issue and redemption price of units is based on the net asset value per unit calculated on the valuation day on the basis of the closing prices of the day the orders are placed as defined under § 16.
   In the case of unit issues, an issuing commission may be added to the net asset value pursuant to § 18.
   For the Mid & Small Cap CH subfund, a redemption commission may be debited to the net asset value pursuant to § 18 prov. 2.
   Incidental costs (specifically standard brokerage charges, fees, taxes, etc.) incurred by a subfund in connection with the investment of the amount paid in, or with the sale of a redeemed portion of investments corresponding to the unit, will be charged to the assets of the corresponding subfund.
3. The fund management company may suspend the issue of units at any time, and may reject applications for the subscription or switching of units.
4. The fund management company may temporarily and by way of exception defer repayment in respect of units of a subfund in the interests of all investors:
   a) if a market which is the basis for the valuation of a significant proportion of the assets of the subfund concerned is closed, or if trading on such a market is restricted or suspended;
   b) in the event of a political, economic, military, monetary or other emergency;
   c) if, owing to exchange controls or restrictions on other asset transfers, the subfund can no longer transact its business;
   d) in the event of large-scale redemptions of units of the subfund that could significantly affect the interests of the remaining investors of this subfund.
5. The fund management company shall immediately apprise the auditors and the supervisory authority of any decision to suspend redemptions.
6. No units of a subfund shall be issued as long as the repayment in respect of units of this subfund is deferred for the reasons stipulated under prov. 4 lit. a to c.

V Fees and incidental costs

§ 18 Fees and incidental costs charged to the investor

1. When issuing units, an issue fee to the fund management company, the custodian bank and/or distributors in Switzerland and abroad, may be charged to the investor, concurrently representing:
   - a maximum of 0.50% of the net asset value of the Short Term Maturity CHF, Short Term Maturity EUR and the Short Term Maturity USD subfunds,
   - a maximum of 0.50% of the net asset value of Class “A” shares of the Mid & Small Cap CH subfund, and
   - a maximum of 0.50% of the net asset value of Class “B” shares of the Mid & Small Cap CH subfund.

   The rate actually applied appears in the annual and half-yearly reports.
2. For the Mid & Small Cap CH subfund, when redeeming units, a redemption fee in favour of the subfund, representing a maximum of 5.00% of the net asset value, may be debited to the investor.

   The rate actually applied appears in the annual and half-yearly reports.

   For the Short Term Maturity CHF, Short Term Maturity EUR and the Short Term Maturity USD subfunds, no commission is deducted on redemption.

§ 19 Fees and incidental costs charged to the subfunds’ assets

1. For fund management, wealth management as well as subfund distribution activities, the fund management company charges subfunds an annual commission of:
   - a maximum of 0.65% per annum on the subfund’s net wealth value, for the Short Term Maturity CHF, Short Term Maturity EUR and Short Term Maturity USD subfunds,
   - a maximum of 1.00% per annum on the net wealth value for Class “A” shares of the Mid & Small Cap CH subfund, and
   - a maximum of 1.50% per annum on the net wealth value for class “B” shares of the Mid & Small Cap CH subfund.

   which is debited on the assets of the subfund concerned pro rata temporis each time the net asset value is calculated and distributed at the end of each quarter (management fee including a distribution fee). The currently applicable management fee for each subfund is stated in the annual and semi-annual reports.
2. For the safekeeping of the wealth of various subfunds, the responsibility of subfund payment transfers and the other tasks of the custodian bank set out in § 4, the custodian bank charges subfunds an annual fee of 0.1% maximum on the subfunds’ net wealth value, earned pro rata temporis each time the net asset value is calculated on the wealth of the corresponding subfund and distributed at the end of each quarter (custodian bank fee). The currently applicable custodian bank fee for each subfund is stated in the annual and semi-annual reports.
3. For the distribution of annual income to the investors, the custodian bank will charge the subfunds a commission of 0.50% of the gross amount of the distribution.
4. For the distribution of the liquidation proceeds in the event of dissolution of a subfund, the manager charges a commission of 0.50% on the net asset value, to be split between the custodian bank and the manager.
5. The fund management company and the custodian bank are also entitled to reimbursement of the following disbursements, related to the execution of the fund investment contract:
   a) the cost of buying and selling investments, in particular the usual market brokerage fees, commissions, taxes and duties, as well as the cost of examining and maintaining the quality standards of physical investments;
   b) taxes levied by the supervisory authority for the creation, modification, liquidation, merger, or consolidation of the umbrella fund or a subfund;
   c) annual fees of the supervisory authority on the umbrella fund and/or the subfunds;
   d) fees of the audit company for the annual audit and for the certificates issued in connection with the creation, modification, liquidation, merger or consolidation of the fund or the subfund;

e) fees for legal and tax advisors in connection with the creation, modification, liquidation, merger or consolidation of the fund or a subfund as well as the general defense of the interests of the fund, a subfund and investors thereof;
f) costs for publishing the net asset value of the subfunds and costs incurred for investor communications (including translation costs), provided they are not attributable to wrongful conduct of the fund management company;
g) costs for printing the legal documents and the fund annual and semi-annual reports;
h) costs for the registration of the fund with a foreign supervisory authority, where applicable, in particular the fees charged by the foreign supervisory authority, translation costs and allowances paid to the representative or the payment service abroad;
i) expenses related to the exercise of voting or creditors' rights by the fund or a subfund, including the fees of external advisors;
j) costs and fees related to the intellectual property rights filed on behalf of the fund, a subfund or licensed to the latter;
k) all costs incurred for extraordinary measures taken by the fund management company, the wealth manager or the custodian bank to protect investor interests.

6. The costs mentioned under prov. 5, let. a, are directly added to the cost value or deducted from the sale value.
7. The fund management company and its agents may pay retrocessions as remuneration for the distribution of fund units in accordance with the provisions of the prospectus. They do not grant any rebates to reduce the fees and costs accruing to investors and charged to the fund.
8. When the fund management company acquires units of other collective investment schemes managed directly or indirectly by itself or by a company to which its management is linked as part of a management or control community, or by direct or indirect substantial participation ("linked target funds"), it cannot charge the subfunds a fee for the issue or redemption of linked target funds.

VI Financial statements and audits

§ 20 Financial statements

1. The accounting currencies of the individual subfunds are as follows:
   - Short Term Maturity CHF: Swiss Franc (CHF);
   - Short Term Maturity EUR: Euro (EUR);
   - Short Term Maturity USD: U.S. Dollar (USD);
   - Mid & Small Cap CH: Swiss Franc (CHF).
2. The accounting year runs from 1 April to 31 March of the following year.
3. The fund management company shall publish an audited annual report for the fund within four months of the end of the financial year.
4. The fund management company shall publish a semi-annual report for the umbrella fund and subfunds respectively within two months following the end of the first half of the financial year.
5. The investor's right to obtain information under § 5 prov. 4 is reserved.

§ 21 Audits

The audit company verifies compliance by the fund management company and the custodian bank regarding the legal and contractual provisions as well as the rules of the *Asset Management Association Switzerland* which may be applicable to them. A brief report by the audit firm on the published annual accounts can be found in the annual report..

VII Appropriation of net income

§ 22

1. The subfunds' net profits are distributed annually to investors by unit class no later than four months after the end of the financial year, in units of account. In addition, the fund management company may make interim income distributions.
   Up to 30% of the net income of the subfunds and share classes may be carried forward. A distribution may be waived and the net proceeds may be carried forward again. The net profit for the current financial year, and the profits carried forward from previous financial years of a collective investment scheme or of a unit class, amount to less than 1% of the net asset value of the collective investment scheme or unit class.
2. Capital gains realized on the sale of assets and rights can be distributed by the fund management company or retained for the purpose of reinvestment.

VIII Publication of official notices by the umbrella fund and/or subfunds

§ 23

1. The media of publication of the umbrella fund and subfunds are deemed to be the print media or electronic media specified in the prospectus. Notification of any change in a medium of publication shall be published in the media of publication.
2. The following information shall in particular be published in the media of publication: summaries of material amendments to the fund contract, indicating the offices from which the amended wording may be obtained free of charge, any change of fund management company and/or custodian bank, the creation, dissolution or merger of unit classes, as well as the liquidation of individual subfunds. Amendments that are required by law that do not affect the rights of investors or are of an exclusively formal nature may be exempted from the duty to publish subject to the approval of the supervisory authority.
3. Each time units are issued or redeemed, the fund management company shall for each subfund publish both the issue and the redemption prices or the net asset value of all the share classes together with a footnote "excluding commissions" in the printed or online media mentioned in the prospectus. The prices shall be published at least twice per month. The weeks and weekdays on which publications are made shall be specified in the prospectus.

4. This prospectus together with the integrated fund contract, the basic information sheet and the respective annual and semi-annual reports, may be requested free of charge from the fund management company, the custodian bank and all distributors.

IX Restructuring and dissolution

§ 24 Mergers

1. Subject to the consent of the custodian bank, the fund management company can merge individual subfunds with other subfunds or other investment funds by transferring – as of the time of the merger - the assets and liabilities of the subfund or fund being acquired to the acquiring subfund or fund. The investors of the subfund(s) and/or fund(s) being acquired shall receive units of a corresponding value in the acquiring subfund or fund.
   The subfund(s) or fund(s) being acquired is/are terminated without liquidation when the merger takes place, and the fund contract of the acquiring subfund or fund shall also apply to the subfund(s) or fund(s) being acquired.
2. Subfunds and funds may be merged only if:
   a) provision for this is made in the relevant fund contracts;
   b) they are managed by the same fund management company;
   c) the relevant fund contracts are basically identical in terms of the following provisions:
      - the investment policy, investment techniques, risk diversification, as well as the risks associated with the investment;
      - the appropriation of net income and capital gains on the sale of assets and rights;
      - the type, amount and calculation of all fees, the issue and redemption commission together with the incidental costs for the purchase and sale of the investments (brokerage fees, charges, duties) that may be charged to the assets of the funds or subfunds or to the investors;
      - the redemption conditions;
      - the duration of the contract and the conditions of dissolution;
   d) the valuation of the fund assets, the calculation of the exchange ratio and the transfer of the assets of the funds or subfunds must take place on the same day;
   e) no costs shall arise as a result for either the funds or subfunds or the investors. The provisions under § 19 prov. 5, let. b, d and e, shall remain reserved.
3. If the merger is likely to take more than one day, the supervisory authority may approve limited deferment of repayment in respect of the units of the funds or subfunds involved.
4. The fund management company must submit the proposed merger together with the merger schedule to the supervisory authority for review at least one month before the planned publication of the intended changes to the fund contract. The merger schedule must contain information on the reasons for the merger, the investment policies of the of the funds or subfunds involved and any differences between the acquiring fund or subfund and the fund(s) or subfund(s) being acquired, the calculation of the exchange ratio, any differences with regard to fees and any tax implications for the funds or subfunds, as well as a statement from the statutory auditors as provided by the law on collective investment schemes.
5. The fund management company must publish a notice of the proposed changes to the fund contract pursuant to § 23 prov. 2 and the proposed merger and its timing together with the merger schedule at least two months before the planned date of the merger in the media of publication of the funds or subfunds in question. In this notice, the fund management company must inform the investors that they may lodge objections against the proposed changes to the fund contract with the supervisory authority within 30 days from the final publication or notification, or request redemption of their units.
6. The auditors must check directly that the merger is being carried out correctly, and shall submit a report containing their comments in this regard to the fund management company and the supervisory authority.
7. The fund management company shall inform the supervisory authority of the conclusion of the merger and shall publish notification of the completion of the merger, the confirmation from the auditors regarding the proper execution of the merger and the exchange ratio without delay in the media of publication of the fund or the funds and/or the subfund or the subfunds involved.
8. The fund management company must make reference to the merger in the next annual report of the acquiring fund or subfund and in the semi-annual report if published prior to the annual report. If the merger does not take place on the last day of the usual financial year, an audited closing statement must be produced for the fund(s) or subfund(s) being acquired.

§ 25 Changes in legal form

1. Under Swiss law, the fund management company may, with the consent of the custodian bank, transform investment funds into SICAV subfunds. The assets and liabilities of the transformed fund(s) are transferred to the SICAV subfund investor at the time of transformation. Investors in the transformed fund receive units of a corresponding value from the SICAV investor subfund. On the day of the transformation, the fund concerned is dissolved without liquidation and the SICAV's investment regulations apply to the investors of the transformed fund who become investors of the SICAV investment subfund.
2. The fund may be transformed into a SICAV subfund only if:
   a. the fund contract provides for this and the SICAV's investment regulations expressly stipulate this;
   b. the fund and the subfund are managed by the same fund management company;
   c. the fund contract and the SICAV investment regulations are consistent in principle with the following provisions:
      - investment policy (including liquidity), investment techniques (securities lending, repurchase or reverse repurchase transactions, derivatives), borrowing or granting credit, pledging assets of the collective investment, risk distribution and investment risks, type of collective investment, circle of investors, classes of units/shares and calculation of the net asset value.
      - the use of net proceeds and capital gains realized through the disposal of objects and rights;
      - using results and the requirement to notify;

- the nature, amount and method of calculation of all remuneration, issuing and redemption fees as well as incidental costs for the purchase and sale of investments (brokerage fees, remuneration, taxes), that can be debited from the Fund's or the SICAV's assets or charged to investors or shareholders, subject to incidental costs specific to the legal form of the SICAV;
- issue and redemption conditions;
- the duration of the contract or of the SICAV;
- the media of publication;

d. the valuation of the assets of the participating collective investment schemes, the calculation of the exchange ratio and the transfer of the assets and liabilities are carried out on the same day;

e. no costs are incurred by either the investment fund, the SICAV, the investors or the shareholders.

3. FINMA may authorize a redemption suspension for a specific period if it is anticipated that the transformation will take longer than one day.

4. Prior to the planned publication, the fund management company submits to FINMA, for verification, the changes in the planned fund contract and the transformation envisioned jointly in the transformation plan. The transformation plan provides information on the reasons for the transformation, the investment policy of the collective investment schemes concerned, any existing differences between the transformed investment fund and the SICAV subfund, exchange ratio calculation, possible differences in terms of remuneration, possible tax consequences for collective investment schemes, and the position of the audit company.

5. The fund management company publishes all the changes to the fund contract pursuant to § 23 prov. 2, as well as details on the transformation, the date jointly scheduled and the transformation plan at least two months before the date fixed in the publication of the transformed investment fund. In doing so, it draws investors' attention to the opportunity they have to oppose the fund contract amendment or to demand reimbursement of their units from the supervisory authority, within 30 days of the publication or notification.

6. The auditors of the investment fund or of SICAV (in case of discrepancy) verify without delay the proper conduct of the transformation and express their views on the subject in a report addressed to the company, the SICAV and the the supervisory authority.

7. The fund management company informs FINMA without delay on the completion of the transformation and sends the auditors' confirmation regarding the proper conduct of the operation and the transformation report, in the media of publication of the participating investment fund.

8. The fund management company or the SICAV makes reference to the transformation in the forthcoming annual report of the investment fund or of the SICAV, and in a possible semi-annual report previously published.

§ 26 Duration of the subfunds and dissolution

1. The subfunds are established for an indefinite duration.

2. The fund management company or the custodian bank may dissolve individual subfunds by terminating the fund contract without notice.

3. Individual subfunds may be dissolved by order of the supervisory authority, in particular if at the latest one year after the expiry of the subscription period (launch) or a longer extended period approved by the supervisory authority at the request of the custodian bank and the fund management company, the subfund does not have net assets of at least 5 million Swiss francs (or the equivalent).

4. The fund management company shall inform the supervisory authority of the dissolution immediately and shall publish notification in the media of publication.

5. Once the fund contract has been terminated, the fund management company may liquidate the subfund concerned forthwith. If the supervisory authority has ordered the dissolution of a subfund, it must be liquidated forthwith. The custodian bank is responsible for the payment of liquidation proceeds to the investors. If the liquidation proceedings are protracted, payment may be made in installments. Prior to the final payment, the fund management company must obtain authorization from the supervisory authority.

X Changes to the fund contract

§ 27

If changes are made to the present fund contract, or if a change to the fund management company or to the custodian bank is planned, the investors may lodge objections with the supervisory authority within 30 days after the last corresponding publication or notification. In the publication, the fund management company informs investors on changes to the fund contract that are subject to the audit and the legal compliance assessment by FINMA. In the event of a change to the fund contract the investors can also demand the redemption of their units in cash subject to the contractual period of notice. Exceptions in this regard are cases pursuant to § 23 prov. 2 that have been exempted from the duty to publish with the approval of the supervisory authority.

XI Applicable law and place of jurisdiction

§ 28

1. The umbrella fund and the individual subfunds are subject to Swiss law, in particular the Swiss Federal Act on Collective Investment Schemes of 23 June 2006, the Ordinance on Collective Investment Schemes of 22 November 2006 and the Ordinance of the FINMA on Collective Investment Schemes of 27 August 2014. The place of jurisdiction is the court at the fund management company's registered office.

2. The French version is binding for the interpretation of the present fund contract.

3. This fund contract shall take effect on 25 September 2023.

4. This fund contract replaces the fund regulations dated 15 December 2022.
5. Upon approval of the fund contract, FINMA only verifies the provisions pursuant to art. 35a, para. 1 let. a-g CISO and ascertains their legal compliance.

The fund management company	*The custodian bank*
Solutions & Funds SA	**UBS Switzerland SA**